

THE EQUITY EXPRESSION OF THE OPTICAL INTERCONNECT THESIS

The Shrinking Price of Light

Optical networking shares rose across the board on Tuesday. Applied Optoelectronics, Lumentum, Coherent and Ciena all advanced, in a session where the broad market fell and the Dow shed 628 points. The stated catalyst was commentary following OpenAI's release of GPT-6 Astra on 3 September, which pointed to 800G and 1.6T optical modules as direct beneficiaries of a further scale-up in compute.

The demand side is no longer in doubt. It has been confirmed in five separate sets of results this quarter. The open question is about price rather than volume: whether the companies converting electrons into photons can keep any of the money the boom is generating.

A reframe worth holding onto

Optical interconnect is not a chip business and it should not be valued as one. It is closer to a components business selling into a small number of very large, very well-informed buyers who reprice the part every generation.

Volume growth and unit-price collapse are not opposing forces here. They are the same force. Each speed transition is what creates the new demand — and it is also the moment at which the buyer resets the price.

Method. Every figure here is external and dated — results releases, earnings calls, industry forecasters — attributed at the point of use and listed in full at the end. The Heyokha research Wiki could not be reached on this run, so this edition carries no internal views, provider attributions or *last reviewed* dates. The sidebar reframe is the editor's construction from the external record, not a house view. Where the format would set an internal view against external reporting, two documented external camps are set against each other instead, and left unresolved.

Consider a city that must double the water it moves through its centre every eighteen months. The mains were copper: cheap, easy to join. But past a certain pressure copper stops cooperating — it leaks at the couplings, it heats, and beyond a few metres the pumps burn more power pushing water than the water is worth. So the city switches to glass conduit, installing at every junction a coupling that converts pressure into flow. The coupling makers do extremely well; for a while they cannot cast them fast enough. Then two things happen. The procurement office, buying millions a year, notices it is the only customer that matters and negotiates accordingly. And the engineers begin drawing a pump with the coupling cast into its housing. The couplings do not disappear — the outer network needs them for years yet. But the most profitable ones, closest to the pump, are the ones the new design removes.

THE STORY IN 60 SECONDS

\$26bn

Forecast optical module market for 2026, up about 60% on \$16.5bn in 2025. *LightCounting*, 2026.

~\$400

Projected average 800G module price in 2026, against roughly \$1,200 in 2023 — down over 60% in three years. *Industry pricing survey*, 2026.

46.4%

Ciena adjusted gross margin in fiscal Q3 2026, up 450bp year on year, with record 22.5% operating margin. *Ciena*, 3 September 2026.

What actually happened

The move on Tuesday was thematic rather than company-specific. No optical supplier reported, guided or announced anything on 8 September. What changed was a piece of commentary: after OpenAI released GPT-6 Astra on 3 September, analysts reading across from the model's compute requirements concluded that another scale-up cycle was coming, and that 800G and 1.6T modules would be among the clearest beneficiaries. The group rallied on that read-through while the wider tape was falling, healthcare was selling off on two failed Novartis trials, and investors were positioning ahead of an inflation print.

Underneath the thematic bid sits a set of results that are unusually consistent. Coherent closed fiscal 2026 with record fourth-quarter revenue of \$2.05bn, up 34% year on year, with datacentre and communications revenue of \$1.62bn, up 58.6%. Within that, datacentre revenue rose 66% year on year, and management said 1.6T adoption was running faster than expected — the chief executive noting that the ramp was quicker than the company had thought three months earlier. Coherent increased laser output 80% year on year in the quarter and now expects to double internal indium phosphide capacity a quarter ahead of its original plan.

Lumentum's fiscal fourth quarter showed revenue up 109% year on year to \$1.01bn, its eighth consecutive quarter of growth, with guidance for the following quarter of \$1.225–1.275bn against consensus nearer \$1.16bn. Applied Optoelectronics posted a fifth consecutive record quarter, revenue of \$191.9m in the second quarter of 2026, up 86% year on year and 27% sequentially, returning to non-GAAP profitability. Fabrinet, which builds much of this equipment on contract, reported record revenue of \$1.316bn in its fiscal fourth quarter, up 45%, with datacentre revenue of \$669m — 51% of the total and up 68%. Ciena, reporting most recently on 3 September, grew revenue 37% to \$1.67bn and raised full-year guidance to \$6.42bn.

So the volume story is corroborated from five independent sets of books, including one contract manufacturer whose numbers are difficult to inflate. What none of those releases settles is the second half of the question. Applied Optoelectronics earned a non-GAAP gross margin of 29.8% on that record quarter — *below* the 30.4% it earned in the same quarter of 2025 — and told investors to expect a further slight headwind as the mix shifts towards datacentre product. Record revenue, lower margin, on the same product line, one year apart.

THE ESSENTIAL DISTINCTION

The optical boom is a *unit* boom, not a *price* boom. Module demand is rising because each speed transition forces more modules per rack — but every one of those transitions is also a repricing event, and the buyer sets the price. Confusing revenue growth with pricing power is the central error available in this sector.

The mechanism, one module at a time

1 • The signal leaves

A processor emits an electrical signal that must reach another processor. Inside a rack, over short distances, copper carries it cheaply and reliably.



2 • Copper runs out

As lane rates rise to 200G and beyond, copper's usable reach collapses to a couple of metres and its power draw climbs. Past that point it stops being an option.



3 • Conversion is bought

An optical module — laser, modulator, driver and usually a digital signal processor — converts electrons to photons. It is a discrete part, bought per unit, plugged into a switch socket.



4 • The price is reset

Module count scales with cluster size, so volumes compound. But each generation is competitively tendered, and price per unit falls sharply as suppliers qualify.

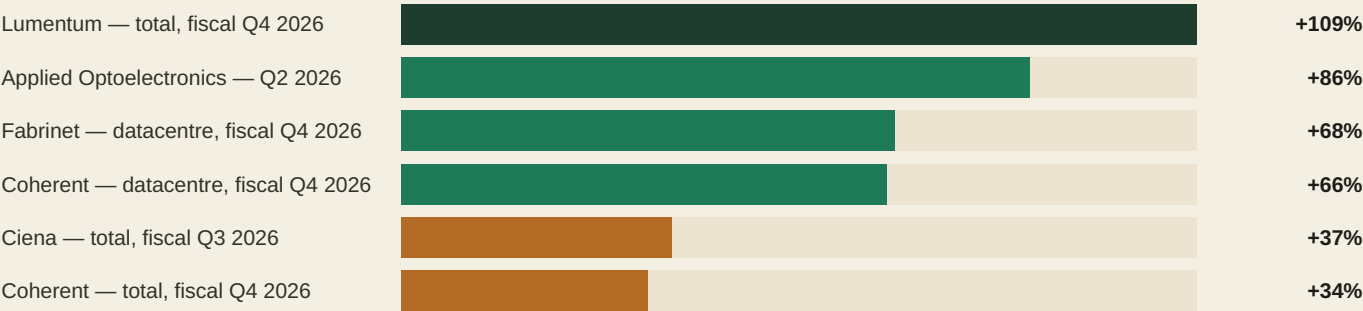
Mechanism as described in vendor technical documentation and industry primers on 800G/1.6T pluggable optics and linear pluggable optics, 2026. Reach and power characteristics are the physical constraint driving substitution from copper to optics at high lane rates.



Coherent fiscal Q4 2026 results and earnings call, August 2026. Module pricing and market-share figures from industry research on the China optical transceiver sector, 2026.

The comparison the argument turns on

Every listed participant is growing quickly. The question is whether growth rates that look similar are being produced by similar economics. The following compares the most recently reported year-on-year revenue growth at each company, on the segment most exposed to artificial-intelligence datacentre demand where one is disclosed.



Bars are illustrative and scaled to the largest value shown; they compare growth rates only, not absolute revenue, and the periods are not aligned — fiscal calendars differ across these companies. Figures from each company's most recent results release: Lumentum and Coherent fiscal Q4 2026 (August 2026), Applied Optoelectronics Q2 2026 (6 August 2026), Fabrinet fiscal Q4 2026 (17 August 2026), Ciena fiscal Q3 2026 (3 September 2026).

A USEFUL MENTAL MODEL

Ask, of any supplier here, a single question: *when this part is designed out, what does the company still own?* A laser fabrication line, a diagnostic patent estate or a switch platform survives the transition. A module assembly line qualified for one generation does not.

What has actually shifted

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
1.6T arrived earlier than planned	Coherent said the 1.6T ramp was faster than it had assumed three months earlier, and pulled forward its indium phosphide capacity doubling by a quarter.	Early transitions lift revenue and reward whoever qualified first. They also shorten the earning life of the 800G lines that were built for this cycle, and bring forward the next repricing.
Capacity is the binding constraint, not orders	Coherent lifted laser output 80% year on year; Lumentum guided a quarter ahead of its own target model; Applied Optoelectronics is in a fifth consecutive record quarter.	Scarcity supports price today. It also invites every supplier to add capacity at once, which is how the next oversupply is manufactured.

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Price is falling faster than mix is improving	Applied Optoelectronics earned 29.8% non-GAAP gross margin on record Q2 revenue, below the 30.4% of a year earlier, and guided to further mix headwind.	Falling unit cost is what makes the next tier of deployment affordable, so it expands the market. It also means revenue growth overstates profit growth for the merchant module makers.
The buyer base is concentrating	Fabrinet disclosed Cisco at 20% of fiscal-year revenue, Nvidia 16%, Nokia and Amazon 11% each. Estimated 1.6T demand for 2026 is dominated by a handful of names.	Large committed customers make capacity planning possible. They also hold most of the negotiating power at every renewal, and can dual-source at will.
Co-packaged optics moved from concept to specification	A coalition of twenty companies published a 300-page architectural blueprint within the Open Compute Project on 13 August 2026, targeting first formal specifications in Q4 2026.	Standardisation is a prerequisite for volume, so it validates the direction. It also sets a public timetable for removing the highest-value socket from the switch face.
The supplier base is majority Chinese	Chinese firms hold seven of the top ten global positions and more than 70% of the market; the top three exceed 55% combined.	Scale in China is what has driven cost down the curve. It also means the Western listed names are price-takers competing against vertically integrated volume.

Bull and bear, stated fairly

The bull case

- **The physics is not negotiable.** Above roughly 200G per lane, copper's reach falls to a couple of metres and its power draw becomes prohibitive. Optics is not a preference that can be reversed by procurement; it is the only way to move the signal.
- **Demand is confirmed in audited accounts, not projections.** Lumentum +109%, Applied Optoelectronics +86%, Fabrinet datacentre +68%, Coherent datacentre +66%, Ciena +37% — five separate sets of books, including a contract manufacturer with little incentive to flatter.
- **The transition is running ahead of plan.** Coherent pulled its capacity doubling forward by a quarter and described 1.6T demand as accelerating beyond its own recent assumptions. Lumentum reached its target operating model more than a quarter early.
- **The market is still compounding fast.** Industry forecasters put 2026 module revenue near \$26bn, up about 60% on 2025, with 800G and 1.6T together roughly 64% of it. Growth of that order absorbs a good deal of price erosion.
- **Displacement is slower than headlines suggest.** Co-packaged switches shipping in 2026 still pair with pluggable optics on the host side, and pluggables retain structural dominance in enterprise, telecom and lower-bandwidth cloud tiers.
- **Margins are expanding where the moat is real.** Ciena lifted adjusted gross margin 450 basis points to 46.4% and posted a record 22.5% operating margin — evidence that platform and systems positions capture value that merchant module assembly does not.

The bear case

- **The unit price is collapsing.** Average 800G pricing has fallen from roughly \$1,200 in 2023 to a projected \$400 in 2026 — more than 60% in three years. Volume has to more than double simply to stand still on revenue.
- **Margin is already eroding at record revenue.** Applied Optoelectronics earned 29.8% non-GAAP gross margin on its best-ever quarter, below the 30.4% of a year earlier, and told investors to expect more mix headwind. This is what price-taking looks like in the accounts.
- **The competitive set is structurally lower-cost.** Chinese suppliers hold more than 70% of the market and the top three exceed 55% combined, with domestic competition described as driving accelerating ASP decline.
- **The architecture is being standardised away.** Twenty companies published a co-packaged optics blueprint on 13 August 2026 with first specifications targeted for Q4 2026. Integrating the optical engine into the switch package removes the pluggable socket that carries the best margin.
- **There is a second substitution route.** Linear pluggable optics strips the digital signal processor out of the module, cutting power roughly in half. It also strips out much of the content and value the module supplier was selling.
- **Demand is narrow and lumpy.** Fabrinet's own disclosure shows four customers at 11% or more of revenue. A single hyperscaler pausing a build, or moving a generation to a rival, is a material revenue event.

The bear case here is not drawn from an internal research view — none was available on this run. It is constructed from external reporting on pricing and market structure, from the published Open Compute Project timetable, and from tensions visible inside the companies' own disclosures, principally Applied Optoelectronics' margin decline on record revenue and Fabrinet's customer-concentration table.

Where the evidence conflicts

The house format would ordinarily set an internal research view against external reporting at this point. With the Wiki unavailable, the live disagreement is instead between two documented external camps, and it is not resolved. On 9 June 2026 the research firm SemiAnalysis published work arguing that co-packaged optics would be late — scale-out shipments revised down through 2027 and scale-up pushed to 2029. Optical shares fell sharply within hours; Applied Optoelectronics dropped 14% in afternoon trading, leading the group down. Nvidia disputed the conclusion, and a separate analysis from Global Semi Research argued directly that co-packaged optics is not delayed.

Both cannot be right, and the distinction matters more than any single quarter of results. If the sceptical view is correct, the pluggable module makers have several more years of a demand cycle they are currently capacity-constrained to serve. If it is wrong, the most valuable socket in the switch begins disappearing on roughly the timetable the Open Compute Project has published. Nothing in the results released so far this quarter distinguishes between these two futures, because both are consistent with a very strong 2026. The reader should treat this as genuinely open.

What to watch from here

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Gross margin at constant revenue growth	Whether suppliers can hold or expand margin while revenue compounds, rather than trading one for the other.	This is the single cleanest test of pricing power. Applied Optoelectronics has already failed it once, on a record quarter.
Open Compute Project specifications, Q4 2026	Whether the first formal co-packaged optics specifications land on the published timetable, slip, or arrive narrower than promised.	It is the nearest dated, checkable event that bears directly on the disintermediation question, and it falls this quarter.
1.6T qualification announcements by customer	Which suppliers are qualified at which hyperscalers for the current generation, and how many are qualified per socket.	Single-sourced qualifications hold price. Three qualified suppliers at one buyer is the setup for the next round of erosion.
Realised 800G and 1.6T pricing	Whether the projected move towards roughly \$400 for 800G is being met, undershot or resisted.	Price per unit is the variable that converts a confirmed volume boom into either expanding or contracting profit.
Customer concentration disclosures	Movement in the named-customer percentages that Fabrinet and its peers publish annually.	Rising concentration raises both the growth rate and the severity of any single order pause.
August CPI, 11 September 2026	US consumer prices, with annual inflation having slowed to 3.4% in July from 3.5% in June, and the federal funds target at 3.50–3.75%.	These are long-duration growth equities on high multiples. The discount rate moves them independently of anything happening in optics.

Three postures, not one answer

Own the physical constraint Concentrate on what is genuinely hard to replicate — indium phosphide laser fabrication, optical engine capacity — on the view that whatever the packaging looks like, the light still has to be generated. The cost: these are capital-heavy assets built for a specific generation, and the operating leverage that flatters the upcycle works in reverse.	Own the platform, not the part Favour systems and switching positions where the optical content is embedded in a larger sale, as Ciena's 46.4% gross margin and record 22.5% operating margin suggest is possible. The cost: materially slower growth — 37% against 109% — and exposure to telecom capex cycles that have nothing to do with artificial intelligence.	Own both sides of the substitution Hold the copper and signal-integrity side alongside the optical side, so that the reach question is answered either way. The cost: the two positions partly offset, the blended return is lower than being right on one, and both remain exposed to the same underlying capex budget.
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The companies named below are illustrative of how this theme is expressed in listed equities. They are NOT recommendations. No view is offered on the merits of any security, and nothing here is investment advice.

COHR

Coherent Corp.

Datacentre +66% y/y
Fiscal Q4 2026

Record quarterly revenue of \$2.05bn, up 34%, with datacentre and communications at \$1.62bn. Owns indium phosphide laser fabrication — the part of the chain hardest to substitute, since the light must be generated however the switch is packaged. Laser output rose 80% year on year, with internal capacity doubling a quarter ahead of plan.

WATCH NEXT

Whether the capacity doubling arrives into firm pricing or into a market that has already added supply everywhere at once.

LITE

Lumentum Holdings Inc.

Revenue +109% y/y
Fiscal Q4 2026

Revenue of \$1.01bn, an eighth consecutive quarter of growth, with guidance of \$1.225–1.275bn against consensus nearer \$1.16bn. Reached its target operating model more than a quarter early. Beyond cloud modules it is building an optical circuit switching position, which is a different and more architectural business than selling pluggables by the unit.

WATCH NEXT

Whether optical circuit switching becomes a disclosed, material revenue line rather than a described growth driver.

AAOI

Applied Optoelectronics, Inc.

Revenue +86% y/y
Q2 2026

Revenue of \$191.9m, a fifth consecutive record, with a return to non-GAAP profitability at \$0.06 per share. It is also the clearest illustration of the edition's central tension: non-GAAP gross margin of 29.8% was below the 30.4% of a year earlier, with further mix headwind guided. Q3 revenue guidance of \$255–290m is a very wide range for a company one quarter out.

WATCH NEXT

Whether Q3 gross margin lands in the guided 29–30.5% band or slips below it again on datacentre mix.

CIEN

Ciena Corporation

Revenue +37% y/y
Fiscal Q3 2026

Revenue of \$1.67bn, adjusted EPS of \$2.11 against \$0.67 a year earlier, and adjusted gross margin of 46.4%, up 450 basis points. Record adjusted operating margin of 22.5%. Full-year guidance raised to \$6.42bn, with an early fiscal 2027 outlook of at least 30% growth and 25–27% operating margin. Grows slowest of the group and earns the most on each dollar.

WATCH NEXT

Whether the 25–27% fiscal 2027 operating margin outlook survives contact with a full year of cloud-provider negotiation.

FN

Fabrinet

Datacentre +68% y/y
Fiscal Q4 2026

Record revenue of \$1.316bn, up 45%, with datacentre at \$669m — 51% of the total. Full-year revenue rose 36% to \$4.6bn. As the contract manufacturer it is the least filtered read on physical volume in the sector, and the only one that publishes its concentration plainly: Cisco 20% of fiscal-year revenue, Nvidia 16%, Nokia and Amazon 11% each.

WATCH NEXT

Movement in those four named percentages at the next annual disclosure, in either direction.

CRDO

Credo Technology Group Holding Ltd

Close \$175.70
8 September 2026

Included as the counterweight rather than as part of the theme. Credo sells active electrical cables, optical DSPs, retimers and SerDes intellectual property — it earns money when copper's reach is extended and when optics needs signal conditioning. Research firm 650 Group put its active electrical cable share at 73% as of Q2 2025. Shares closed at \$175.70 against a 52-week range of \$86.49 to \$308.67.

WATCH NEXT

Whether rack-scale designs keep extending copper's usable reach, which would slow the optical substitution the rest of this page assumes.

The bottom line

What was repriced on Tuesday was not the demand for optical interconnect. That was already established in five sets of results and is not seriously disputed. What was repriced was the market's estimate of how long the current architecture has left to earn — a thematic bid, on second-hand commentary about a model release, in a session when almost everything else fell.

The evidence genuinely points both ways. Volume growth is confirmed, capacity is constrained, and the physics that forces the substitution from copper is not reversible. Against that, unit prices have fallen more than 60% in three years, the best-performing quarter in one supplier's history carried a lower gross margin than the year before, more than 70% of the market sits with lower-cost competitors, and twenty companies have published a timetable for removing the most valuable socket. The reasonable inference is that this is a volume business being valued as a franchise, and that the distinction will be settled by margin rather than by revenue. The next test is dated and close: the first formal co-packaged optics specifications, targeted for the fourth quarter of 2026.

Editorial note. This is educational commentary prepared for internal use. It is not investment advice, and it is not a recommendation to buy or sell any security. The companies named are illustrative of how the theme is expressed in listed equities; no view is offered on their merits. All external figures carry an as-of date and are attributed to their source below. This edition contains no internal Heyokha Wiki views, because the Wiki could not be reached on this run — where the format calls for an internal view set against external reporting, the conflict presented is instead between two documented external research camps, and it is stated rather than resolved. Forecasts cited from third parties are those parties' opinions, not verified facts. Figures were correct as at the dates given and may since have changed.

Sources and update notes

(a) Internal sources. None were available. The Heyokha research Wiki MCP server was not present in this session's tool registry. Two attempts were made to load it, and a third after the server was reported reconnected mid-run; all three returned no matching tools, because MCP servers bind at session start and a mid-session reconnection does not reach a run already under way. No *list_sources* entity scoring, no theme universe, no *get_page* retrieval and no *last_reviewed* dates could therefore be obtained, and no research provider — 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — is relied upon anywhere in this edition. Nothing in this document should be read as representing an internal house view.

(b) Limitation on the internal view. The standing limitation for this section is normally provider concentration on the relevant Wiki page. Here the limitation is more severe and of a different kind: there is no internal view at all. Everything above rests on external reporting, which means the edition lacks the internal counterweight the format is designed around, and lacks any independent internal check on the external consensus. Since the external consensus on this theme is currently strong and one-directional, the absence of that check should be treated as a real weakness of this edition rather than a formality. The bear case was constructed deliberately from disclosed company figures and from published pricing and standards data to compensate, but that is not the same as an independent internal opinion.

(c) External sources. (1) Market close, 8 September 2026: Dow Jones Industrial Average -628.18 points, -1.18%, to 52,786.07; S&P 500 -0.58% to 7,673.52; Nasdaq Composite -0.32% to 26,421.41 — CNBC and market review coverage, 8 September 2026. (2) Optical stocks broadly higher on 8 September 2026, led by AAOI, LITE, COHR and CIEN, on commentary following OpenAI's GPT-6 Astra release of 3 September pointing to 800G/1.6T modules — Investrade market review, 8 September 2026. (3) Coherent fiscal Q4 2026: record revenue \$2.05bn, +34% y/y, +13% sequentially; datacentre and communications \$1.62bn, +58.6% y/y; datacentre +66% y/y and +24% sequentially; laser output +80% y/y; internal indium phosphide capacity to double a quarter early; first \$3bn quarter targeted by fiscal 2027 — Coherent results and earnings call, August 2026. (4) Lumentum fiscal Q4 2026: revenue \$1.01bn, +109% y/y, eighth consecutive quarter of growth, adjusted EPS \$3.23; Q1 guidance \$1.225–1.275bn — Lumentum results release, August 2026, and SEC filing `lite_ex991xq4fy26`. (5) Applied Optoelectronics Q2 2026: revenue \$191.9m, +86% y/y, +27% sequentially; non-GAAP gross margin 29.8% against 30.4% in Q2 2025; GAAP gross margin 27.7%; adjusted EPS \$0.06; Q3 guidance revenue \$255–290m and non-GAAP gross margin 29–30.5% — company results, 6 August 2026. (6) Fabrinet fiscal Q4 2026: revenue \$1.316bn, +45% y/y; full-year revenue \$4.6bn, +36%; datacentre revenue \$669m, 51% of total, +68% y/y; customer concentration Cisco 20%, Nvidia 16%, Nokia 11%, Amazon 11% of fiscal-year revenue — Fabrinet results release, 17 August 2026. (7) Ciena fiscal Q3 2026 (quarter ended 1 August 2026): revenue \$1.67bn, +37% y/y; adjusted EPS \$2.11 against \$0.67; adjusted gross margin 46.4%, +450bp y/y; record adjusted operating margin 22.5%; fiscal 2026 guidance raised to \$6.42bn ±\$50m; early fiscal 2027 outlook of at least 30% growth and 25–27% operating margin — Ciena results, 3 September 2026. (8) Optical module market forecast of \$26bn for 2026, +60% on \$16.5bn in 2025, with 800G and 1.6T together about \$14.6bn or 64% of module revenue, and Ethernet transceiver market growth forecast at 65% for 2026 — LightCounting, 2026 forecasts. (9) 800G module pricing of approximately \$1,200 in 2023, \$600–800 in 2025 and a projected \$400 in 2026; Chinese suppliers holding seven of the top ten global positions and more than 70% of market share, with top-three concentration above 55% — industry research on the China optical transceiver sector, 2026. (10)

Co-packaged optics: Nvidia Quantum-X Photonics and Spectrum-X Photonics switches; Broadcom shipping the Bailly platform to early-access customers in 2026; CPO described as additive rather than a wholesale replacement, with co-packaged switches still pairing with pluggable optics on the host side — Nvidia newsroom and IDTechEx research, 2026. (11) Open Compute Project: a coalition of twenty companies published a 300-page architectural blueprint on 13 August 2026, targeting first formal specifications in Q4 2026 — industry coverage, 15 August 2026. (12) SemiAnalysis published "Powered Down, Lights Off" on 9 June 2026, arguing scale-out CPO shipments would be revised down through 2027 and scale-up pushed to 2029; optical names sold off, with Applied Optoelectronics down 14% in afternoon trading; Nvidia disputed the report and Global Semi Research published a direct rebuttal — Seeking Alpha and Global Semi Research, June 2026. (13) Linear pluggable optics removes the DSP from the module, cutting power by roughly half — LPO MSA specification and vendor technical documentation, 2026. (14) Credo: shares closed at \$175.70 on 8 September 2026, daily range \$167.38–175.74, 52-week range \$86.49–308.67; 650 Group put Credo's active electrical cable market share at 73% as of Q2 2025. (15) US annual inflation 3.4% in July 2026 against 3.5% in June; federal funds target range 3.50–3.75% as at 3 July 2026; August CPI scheduled for release 11 September 2026 at 08:30 Eastern — Trading Economics, Federal Reserve data and the BLS release calendar.

(d) Editorial choices in this automated run. Optical Interconnect was selected because it was the clearest hot signal available: it was the sector that rose on 8 September while the broad index fell, and the named catalyst was dated within the past week. The intended selection method could not be used — entity scoring from *list_sources* requires the Wiki, which was unreachable — so the topic was chosen from external market reporting instead, as the documented fallback for total Wiki failure prescribes. The cooldown check, by contrast, was fully verified: the **HB Wiki Learning** folder was read directly rather than through the remote-devices bridge, and all thirty-nine archived editions were parsed. Twenty-seven topics fell inside the thirty-day window and were excluded, among them AI Capex and Defence (both 8 September), Term Premium (7 September), Drone Tariffs (4 September), AI Debt Financing, Silver Miners and Stagflation (3 September), Power Affordability (2 September), Yen Carry Trade (1 September), Grain Supply Shock, Coal, Iran War, Gold, Humanoid Robots, Rare Earth Magnets, Memory Supercycle, China Equities, Fiscal Dominance, Copper, Copper Smelting Bottleneck, Energy Chokepoints, Seat-Based Software, Oil Chokepoint Risk, Uranium, Tanker Shipping and Healthcare Rotation. Several strong candidates on 8 September were rejected on that basis: the healthcare sell-off on the Novartis trial failures (Healthcare Rotation, 10 August), the Middle East and oil complex (Iran War, 27 August; Oil Chokepoint Risk, 12 August), and the inflation print ahead (Stagflation, 3 September; Term Premium, 7 September). Optical Interconnect has not been used in the archive at any point. Because the theme universe could not be retrieved, it cannot be confirmed that "Optical Interconnect" matches an active Wiki theme page title exactly; the title has been set in the house Title Case convention so that tomorrow's cooldown parse will read it correctly. One further degradation: the Fiscal.ai data connector was available but is on a free tier covering one hundred large-capitalisation companies, none of them in this sector, so it could not be used to verify prices. Exact closing prices for 8 September could not be confirmed for five of the six companies through permitted routes, and in line with the standing rule against unverified figures those prices have been omitted rather than estimated — the ticker cards carry dated results figures instead. Blocked routes were not circumvented.

Prepared 9 September 2026 · Heyokha Brothers Market Field Guide · Commentary, not investment advice.